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● Japan Daily Brief

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RE: BOJ September hike odds hit 94% after Bessent-Ueda meeting · Yen surges · Cabinet reshuffle Sept 16-18 · Chinese warships off Japan · Mitsubishi Heavy-NEC drone team

NIKKEI 225
64,214.48
▼ -3.16%
as of Sep 3

USD/JPY
156.30
▼ -1.89%
as of Sep 3

EUR/JPY
181.35
▼ -2.32%

BRENT
\$97.39
▲ +7.63%

10Y JGB
1.50%
yield

JAPAN 5Y CDS
20 bps
— flat

BOJ POLICY RATE
1.00%

GDP (ANNUALIZED)
0.6%
Cabinet Office · latest Q (annualized)

TODAY AT A GLANCE

- 1 BOJ Governor Ueda vowed to keep raising interest rates and signaled a September hike remains on the table, with market odds reaching 94% after he met Treasury Secretary Bessent on the G20 sidelines — where Bessent explicitly backed 'decisive' BOJ action to address yen weakness.
- 2 PM Takaichi's cabinet and LDP leadership reshuffle is now set for September 16-18, with Secretary-General Suzuki and LDP Vice President Aso expected to be retained per The Japan News.
- 3 Chinese warships are operating closer to Japan's shores in a pattern raising concern among Japanese officials, per a WSJ report, as Mitsubishi Heavy Industries and NEC announced a teaming agreement to develop defense drones for the SDF.

TOP STORIES

ECONOMY-BOJ

BOJ's Ueda signals September hike after Bessent presses for 'decisive' action; market odds hit 94%

BOJ Governor Ueda, meeting Treasury Secretary Bessent on the G20 sidelines, stated rate hikes are on the table at every meeting including September, vowing to decide policy with upside inflation risks in mind; Bessent explicitly backed decisive BOJ action to avoid currency volatility and told Ueda the US supports efforts to strengthen the yen. A BOJ board member separately said the magnitude of any hike would not necessarily be 0.25%, opening the door to a larger increment, while Bloomberg reported the BOJ favors a quarter-point hike with a flexible future path.

So what: *The Bessent-Ueda meeting and 94% market-implied hike odds make the September BOJ meeting — estimated late September — the single most consequential near-term event for USD/JPY, JGB yields, and the Nikkei.*

per Nikkei Asia: ["BOJ chief says rate hikes on table at every meeting, including this month's"](#)

NIKKEI ASIA

POLITICS-DIET

Takaichi cabinet and LDP reshuffle confirmed for September 16-18; Suzuki and Aso to stay

PM Takaichi will execute both a cabinet reshuffle and LDP executive reshuffle in the September 16-18 window, per Jiji Press and The Japan News; Secretary-General Suzuki and LDP Vice President Aso are expected to be retained. The Japan Times flags the reshuffle will affect coalition management, the future of ruling-party cooperation, and Takaichi's prospects for remaining in power.

So what: [Portfolio assignments made in the September 16-18 window will determine who manages US tariff negotiations and the Three Strategic Documents review for the remainder of 2026.](#)

per The Japan Times: ["Takaichi's Cabinet reshuffle: What to watch for"](#)

THE JAPAN TIMES

CHINA-JAPAN

Chinese warships cruise close to Japan's shores in pattern alarming officials

WSJ reports Chinese warships are operating at distances from Japan's coast that Japanese officials find uncomfortably close, extending a broader pattern of PLA Navy activity in waters near Japan. The report arrives as Japan's FY2026 defense budget requests, which include expanded drone, AI, and missile procurement, are under review.

So what: [The WSJ report adds operational detail to the China military-pressure baseline and will inform how Japan frames its defense budget request through the autumn Diet season.](#)

WSJ

OVERNIGHT FLASH

DEFENSE · NIKKEI ASIA

Mitsubishi Heavy and NEC form defense drone partnership

Mitsubishi Heavy Industries and NEC announced a teaming arrangement to develop defense drones for the SDF, advancing Japan's push to integrate unmanned systems into its force structure. The partnership aligns with PM Takaichi's vow to accelerate AI and unmanned asset introduction.

DEFENSE · THE JAPAN TIMES

Sasakawa panel recommends allowing foreign nationals to join SDF

A Sasakawa Peace Foundation panel submitted recommendations to the Defense Ministry proposing that foreign nationals be permitted to enlist in the SDF as a response to worsening recruitment shortfalls. The proposal would represent a significant departure from Japan's current enlistment policy.

POLITICS-DIET · NIKKEI ASIA

LDP eyes renewed cooperation with Komeito as opposition fractures

With the opposition fragmented, Nikkei Asia reports the LDP is exploring renewed legislative cooperation with Komeito after their coalition broke down. The move would help Takaichi secure Diet votes ahead of the cabinet reshuffle and upcoming budget season.

94%

Market-implied probability of BOJ rate hike in September

Odds surged after Governor Ueda vowed 'proper discussion' at the upcoming meeting and a BOJ board member said the increment would not necessarily be 0.25%.

Source: BOJ rate hike odds hit 94% as Ueda vows 'proper discussion' at next meeting — Herald Korea / multiple Tier 4 sources

REGIONAL PRESSURE WATCH

High — 41 items (Japanese government: 38, adversary signal: 3)

PM Watch: PM appeared today · 1 day(s) since last confirmed appearance — PM Takaichi held a telephone summit with Nepal's prime minister seeking cooperation in the search for five Japanese nationals missing in Nepalese floods, per the Prime Minister's Office.

CHINA

China's Foreign Ministry, per Global Times, framed Japan's defense buildup as 'neo-militarism under the guise of national normalization' and stated China and 'peace-loving countries' would curb it — the latest in a sustained public pressure campaign running through August and September 2026. WSJ separately reported Chinese warships are operating at distances from Japan's coast that Japanese officials find uncomfortably close.

NORTH KOREA

South Korea, the US, and Japan confirmed Freedom Edge 2026 trilateral exercises will proceed despite North Korea's 'threat' labeling; the Korea Herald reports no changes to the drill schedule ahead of the September 7 start near Jeju Island.

RUSSIA

Russian President Putin stated publicly that Japan bears responsibility for the deterioration in bilateral ties; Tokyo rejected the framing, attributing the breakdown to Russia's Ukraine invasion — extending the diplomatic standoff following Putin's Etorofu visit and the August 21 Bastion missile live-fire from the disputed island.

Senkaku / ECS: No new CCG intrusion or Senkaku incident reported in today's feed; the sustained adversary pressure baseline — daily CCG patrols and the ongoing SDF embassy-intrusion diplomatic row with Beijing — remains unchanged.

"China and peace-loving countries to curb growth of Japan's 'neo-militarism' under guise of 'national normalization'"

Chinese Foreign Ministry spokesperson · China and peace-loving countries to curb growth of Japan's 'neo-militarism' under guise of 'national normalization': FM — Global Times

Bottom line: China's Foreign Ministry escalated its rhetorical framing of Japan's defense buildup to 'neo-militarism' while WSJ reported PLA Navy vessels operating uncomfortably close to Japan's coast — watch whether Tokyo issues a formal protest or MOD scramble data surfaces in the next 24 hours ahead of Freedom Edge 2026 launching September 7.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER

APPROVE

DISAPPROVE

VS PRIOR

Nikkei	62%	32%	—
Asahi	53%	33%	—
ANN	55.4%	29.9%	—
Kyodo	50.2%	33.9%	—
Mainichi · Jul 20, 2026 · 45d ago	41%	44%	—
Yomiuri	56%	32%	—
FNN	62.5%	32%	—
NHK	52.8%	33.2%	—
Jiji · Jul 16, 2026 · 49d ago	48.4%	26.9%	—
JNN	59.2%	37.6%	—

Discourse: The Mainichi poll (41%) reflects the lowest reading among major pollsters, with the Mainichi headline noting support is 'stuck' despite a food tax cut plan, while the Asahi poll flags that voters in their 30s are defecting from Takaichi's support base.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

SOCIAL STATEMENTS



Kazuo Ueda
Governor, Bank of Japan · Japan Times / Kyodo · September 2, 2026

"proper discussion"

Analyst: Ueda's phrasing — vowing 'proper discussion' at the September meeting on economy and price risks — drove market-implied hike odds to 94%, per Herald Korea.

[Source](#) →

TRACKERS

JAPANESE GOVERNMENT

KANTEI · CABINET · MOFA · MOD · METI · MOF · BOJ · THURSDAY, SEPTEMBER 3, 2026

PERSONNEL CHANGES



Suzuki **RESHUFFLED**

LDP Secretary-General

PM Takaichi is expected to retain Suzuki as LDP Secretary-General in the September 16-18 party and cabinet reshuffle, per The Japan News and Mainichi.

LDP

Takaichi sets cabinet and LDP leadership reshuffle for September 16-18; Suzuki and Aso to be retained

Per The Japan News and Jiji Press, PM Takaichi is expected to execute both a cabinet reshuffle and LDP executive reshuffle in the September 16-18 window, with Secretary-General Suzuki and LDP Vice President Aso confirmed to stay on; Mainichi separately reported Suzuki's retention as likely.

UPCOMING

SEP 7	Freedom Edge 2026 trilateral US-Japan-ROK exercises begin near Jeju Island The trilateral drills proceed despite North Korea's 'threat' labeling and a pre-exercise missile test; South Korea has confirmed no changes to the exercise schedule.
SEP 16	Takaichi cabinet and LDP leadership reshuffle (Sep 16-18 window) PM Takaichi is expected to execute both a cabinet reshuffle and LDP executive reshuffle; Secretary-General Suzuki and Vice President Aso are expected to be retained.
SEP 18	End of Takaichi cabinet/LDP reshuffle window The three-day window for both cabinet and party executive changes closes; new portfolio assignments will shape trade-negotiation and defense-buildup management for the remainder of 2026.
SEP 19	Bank of Japan Monetary Policy Meeting (September — estimated) Market-implied probability of a rate hike reached 94% following Governor Ueda's hawkish signals; a BOJ board member has flagged the increment could exceed 0.25%. Date is estimated — verify from BOJ calendar.
OCT 1	Japan agriculture ministry briefing on US fresh potato import ban (estimate) The ministry plans to hold a briefing this month on potato pests and diseases as Japan moves toward fully lifting the ban on US fresh potato imports — a deliverable under the 2025 US-Japan trade framework.

US-JAPAN ALLIANCE & TRADE

US TARIFFS ON JAPAN

AUTOS · 2025 DEAL

15% (incl. MFN, 2025 agreement)

Steel	50%	SECTION 232
Aluminum	50%	SECTION 232

Investment framework: \$550B strategic investment framework (2025 agreement)

Section 301: 12.5% forced-labor tariff in force since Jul 24, 2026 (net of MFN); excess-capacity investigation ongoing

Deal: 2025 US-Japan agreement in force · Section 122 surcharge expired Jul 24, 2026; Section 301 forced-labor tariff entered force Jul 24, 2026

BUSINESS & ECONOMY

MACRO · NIKKEI ASIA · BANK OF JAPAN

Yen surges to low-158 level, back near ¥157 to dollar, on BOJ hike repricing

The yen briefly touched the low-158 level and the Japan Times reports it is back near ¥157 to the dollar for the first time since early August, driven by BOJ rate-hike repricing after Ueda's hawkish remarks; Asahi notes the move was boosted by hawkish BOJ repricing. The Nikkei fell 3.16% to 64,214.48 on the same session.

FINANCE · NIKKEI ASIA · BERKSHIRE HATHAWAY, ITOCHU

Berkshire CEO Abel eyes larger stakes in Japan's five sogo shosha; Itochu chairman welcomes move

Berkshire Hathaway CEO Greg Abel signaled in a Nikkei Asia interview that the firm intends to raise its equity stakes in Japan's five major trading houses beyond current levels. Itochu's chairman responded by welcoming additional Berkshire capital.

FINANCE · THE JAPAN TIMES · NATIXIS

Natixis raises Japan equity allocation; move preceded 10-year JGB yield touching century high of 3%

Natixis, which oversees about \$1.5 trillion globally, boosted its Japan equity weighting a day before the 10-year JGB yield touched 3% — a level not seen in roughly a century. The timing underscores the divergence between equity optimism and bond-market stress in Japan.

FINANCE · THE JAPAN TIMES · TOKYO STOCK EXCHANGE

Japan IPOs down ~30% in H1 2026; 17 companies listed on TSE amid Iran war, AI shock, rate anxiety

The Tokyo Stock Exchange's Prime, Growth, and Standard sections saw 17 companies go public in the first half of 2026, down approximately 30% from a year earlier, with the Iran war, AI disruption, and rate uncertainty cited as headwinds. Jiji Press separately noted IPO volume declining amid the slowdown in tech listings.

INDO-PACIFIC

INDO-PACIFIC · CHOSUN (KOREA)

US and Japan showcase G20 cooperation with major investment announcements

The US and Japan used the G20 sidelines to display bilateral economic cooperation, with the Bessent-Ueda meeting framed partly as a demonstration of coordinated macro policy within the alliance.

ALSO TODAY / THE WIRE

ECONOMY-BOJ · NIKKEI ASIA

Senior US Treasury official: Japan's rising JGB yields are spilling into US markets

A senior US Treasury official acknowledged in a Nikkei Asia interview that Japan's rising bond yields are exerting cross-border impact on US markets, a dynamic that underlies Bessent's push for BOJ tightening.

ECONOMY-BOJ · THE JAPAN TIMES

Japanese firms weigh asset sales, overseas borrowing as yen debt costs rise

Rising yen interest rates are prompting Japanese companies to consider sales of strategic shareholdings and other assets, increased overseas borrowing, and accelerated funding timelines to offset higher domestic debt costs.